

Model Risk Review Guide

Synthetic policy for local retrieval and citation demos

Policy ID	MRM-GDE-003
Owner	Model Risk Management
Effective Date	2026-03-05
Review Cycle	Annual

Document Summary

Describes model inventory intake, tiering, validation evidence, approval gates, and ongoing monitoring for fictional analytical models.

This document is fictional and contains no real client, employee, vendor, or confidential enterprise information.

1. Purpose and Applicability

This guide describes the review process for fictional models, analytical tools, scorecards, rules engines, and AI systems that influence business decisions. It is intended for demonstration and does not represent a real institution's model governance standard.

A system is in scope when it uses statistical, machine learning, rules-based, or generative logic to estimate, classify, recommend, rank, summarize, or automate a decision process.

2. Inventory Intake

Before production use, the model owner must submit an inventory record with model name, business owner, purpose, decision impact, input data sources, output users, model type, implementation platform, and expected production date.

The inventory record must identify whether the model uses client data, third-party data, synthetic data, open-source components, or externally hosted services. Material changes require an updated inventory submission before release.

3. Tiering Criteria

Model Risk Management assigns a tier based on decision impact, regulatory relevance, financial exposure, customer impact, complexity, automation level, and availability of compensating human review.

Tier 1 models include high-impact regulatory, credit, fraud, capital, liquidity, sanctions, or client eligibility models where errors could cause material client harm, financial loss, or regulatory breach. Tier 2 models have moderate business impact or meaningful operational reliance. Tier 3 models are low-impact analytical tools with limited decision influence.

4. Review and Validation Steps

The model owner must provide a model development document, data lineage summary, feature list, training and test design, performance metrics, limitations, intended use, prohibited use, monitoring plan, and implementation evidence.

Independent validation assesses conceptual soundness, data quality, outcome analysis, robustness, limitations, explainability, fairness considerations where relevant, and implementation accuracy. Validation depth increases with model tier.

Generative AI or retrieval-augmented systems must include prompt design, retrieval configuration, refusal behavior, citation behavior, evaluation results, and controls against prompt injection or use of unapproved context.

5. Approval Gates

A model may not enter production until required findings are remediated or accepted by the appropriate governance forum. Tier 1 models require Model Risk Committee approval. Tier 2 models require Model Risk Management approval. Tier 3 models require documented owner attestation and inventory acceptance.

Conditional approval must specify open findings, compensating controls, accountable owner, due dates, and restrictions on production use.

6. Ongoing Monitoring

Model owners must monitor performance, data drift, population stability, override rates, incidents, complaints, and usage outside intended purpose. Monitoring frequency is monthly for Tier 1, quarterly for Tier 2, and semiannual for Tier 3 unless otherwise approved.

Material performance deterioration, unapproved use, data pipeline failure, or unexpected client impact must be escalated to Model Risk Management within two business days.